J.P.Morgan

Europe Equity Research
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Container Shipping

2026 Mid-Year Demand-Supply update

European Transport & Logistics

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Following our recent sector report on container shipping, where we upgraded our 2026 estimates for the container shipping lines given an observed acceleration in demand in May/June, we show in this report our supply-demand expectations for the remainder of 2026 and our outlook for 2027 and 2028, where we expect the industry to tip back into material EBIT losses and FCF burn, driven by our cautious view for container spot rates from here. Despite the recent short-term surge in freight rates, we remain negative on the earnings outlook for the container shipping lines given the material downside risk to consensus estimates as we expect container spot rates to revert to the pre-pandemic average of $1,000/ TEU (SCFI), absent any further disruptive geopolitical events, leading to significant EBIT losses and FCF burn not fully reflected in market expectations. The supply outlook for 2027 looks troubling up 16% y/y, as Red Sea voyages return and deliveries accelerate. Given this context, we do not see any structural reason why rates will not continue to meaningfully rebase given the negative demand-supply spread we expect.

- **Demand.** YTD ocean freight volumes have increased by c. 5% y/y representing 2x real GDP and indeed demand growth since 4Q23 has accelerated well ahead of the historical multiple of 1x real GDP as demand is catching up to its long term trend, supported by disruptive events. Despite this recent above-average trend, we expect demand will normalise to 2-3% (1x real GDP) over the coming quarters (Figure 1) as booking patterns normalise. We expect 2026 volume growth of 4% (1H26 5%; 2H26 3%) and 2027-28 of 2.5%.
- **Supply.** YTD nominal supply has grown by 6% y/y, while effective supply grew by 5%. Given the outlook on new vessel deliveries (Figure 4), which is picking up pace in 2027 and the eventual return of container shipping through the Trans-Suez route (now expected from 1Q27) we see effective supply growth of 3.5% in 2026 and a steep 16% in 2027 which will increase by a further 12% in 2028 as deliveries materially pick up from 2H27 onwards. We do not expect any material delays in shipping deliveries, despite some recent market views that hyperscaler build out may diverge engines from containerships to data centers, we view this narrative as oversimplifying the dynamic given differences in engine technologies and deposit commitments for shipbuilding orders. In fact, assessing delivery levels over the past six months these have further increased rather than declined (Figure 6). Order cancelations are also rare historically (Figure 7). The orderbook to fleet ratio is rapidly building towards 40% of current fleet and we see this as the key forward "lack of capacity discipline" indicator for this industry (Figure 5).
- **Rates.** YTD spot rates (SCFI) have increased by 17% y/y, with a steep reversal of trends since the start of the year initially triggered by the industry's push to recover steep bunker fuel increases due to the Iran war but since early May reflecting a surge in bookings, likely driven by front loading, restocking and cost avoidance efforts. Given the recent surge in rates, we now expect rates in 2026 to increase 20% y/y, while in 2027 we expect a material decline of c.42% back to just under $1,100/ TEU and a further 17% decline y/y to $900/ TEU in 2028.

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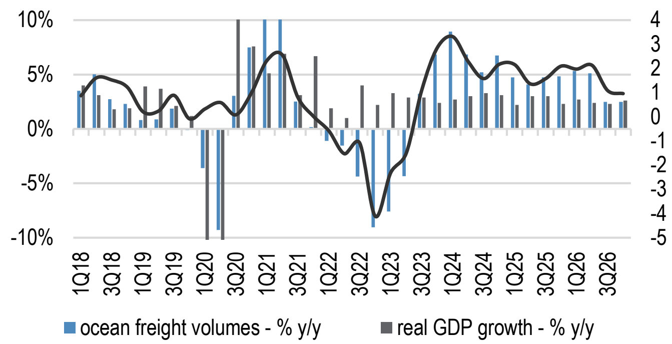
Demand

YTD volume growth has been 5%, broadly supported by disruptive events rather than a structural improvement in the trading backdrop given broadly unchanged real GDP activity or PMIs. While demand growth has accelerated ahead of the historical multiple of 1x real GDP in recent quarters, we expect it to normalise to 2-3% as booking patterns normalise and trade policy changes are lapped. Headhaul growth has seen easing more recently, with backhaul trade showing a steady increase, especially on the TransPacific. We expect 2026 volume growth of 4% (1H26 5%; 2H26 3%) and 2027-28 of 2.5% pa.

Figure 1: Volume growth has accelerated to 2x real GDP since 4Q23 however we expect this to compress from 3Q26...

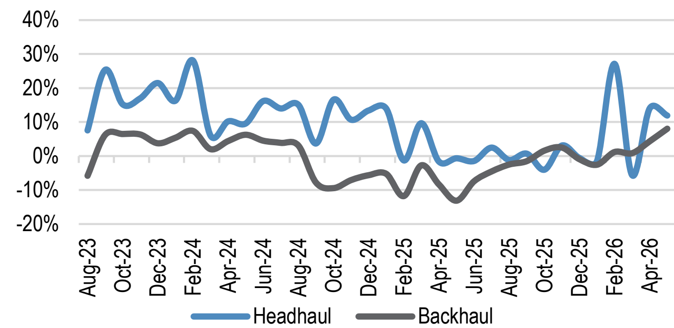
Ocean freight volume growth vs. real GDP - y/y % (multiplier -RHS)



Source: CTS, J.P. Morgan Economics Research.

Figure 2: … as trade policy disruptions now in the base and headhaul trade growth eases

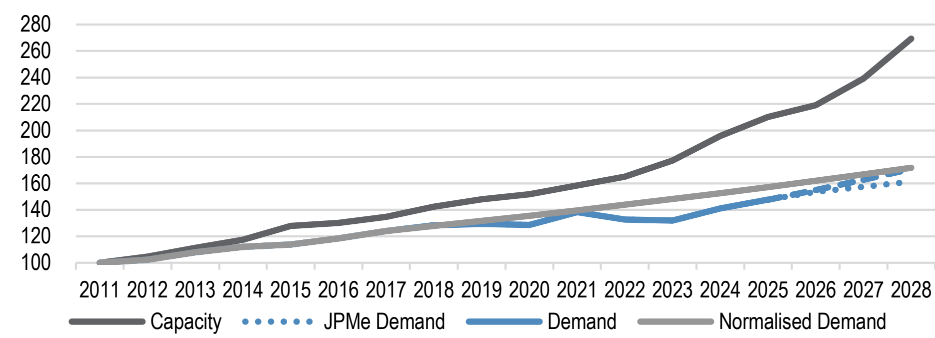
Headhaul (Asia to EU; Asia to NA) and Backhaul (EU to Asia; NA to Asia) - % y/y volumes



Source: CTS data up to May 2026.

Figure 3: Ocean freight volume growth has underperformed real GDP since 2019 and despite the past two year acceleration we expect a moderating demand environment with 2026 +4% y/y and 2027-28 +2.5% y/y pa

Container vessel capacity (TEU); ocean freight volumes and normalised ocean freight volume (1x real GDP growth since 2019) indexed to 2011



Source: CTS, Alphaliner, J.P. Morgan estimates.

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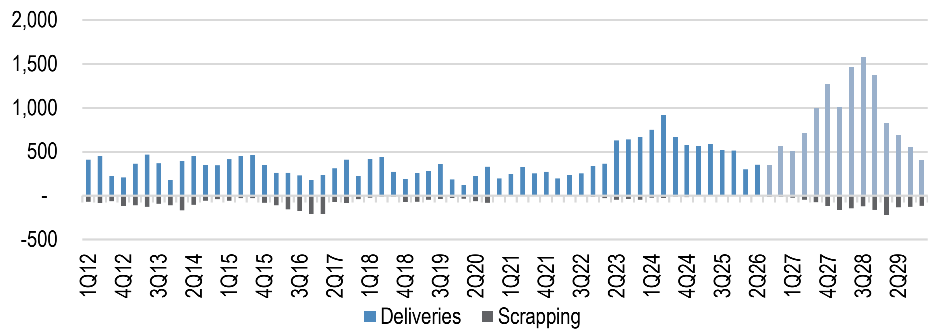
Supply

We have continuously written about the build out of the orderbook to fleet ratio and how following periods of increased container shipping line profitability, the ratio has been a leading indicator of the next downturn given it signals risks of oversupply. The delivery schedule is expected to reach a new peak with deliveries accelerating from 2H27. We see an eventual return of container shipping to the Trans-Suez route from 1Q27, as Maersk announced at the start of July the structural return of one Gemini service on its Asia-Mediterranean-Europe route (AE15) signaling the most recent effort to return to the Red Sea. The orderbook to fleet ratio is rapidly building towards 40% of the current fleet, with limited scrapping activity YTD. We expect 2026 nominal supply growth of 4.6%, with effective supply growth of 3.5%. We see a material step-up in effective supply in 2027 to 16% followed by a further 12% in 2028, driven by both deliveries and route normalisation.

Figure 4: Deliveries are doubling into 2H27 and 2028, yet scrapped capacity has been minimal and there are shipyard constraints that would limit the industry's ability to accelerate scrapping

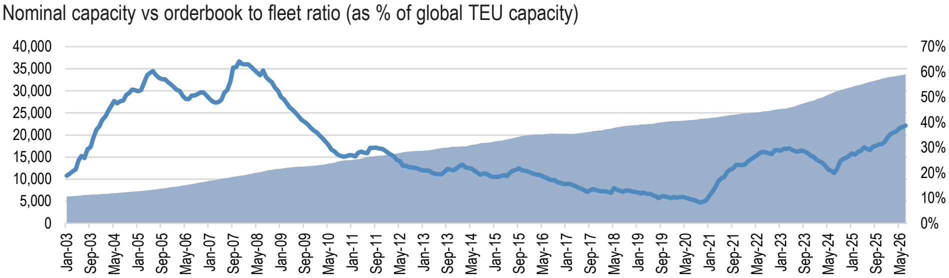
Container vessel capacity (deliveries and scrapped capacity in terms of TEUs)



Source: Alphaliner; J.P. Morgan estimates for forward scrapping activity.

Figure 5: Nominal capacity keeps growing while the orderbook to fleet ratio continues to build but still not at peak ratio, but well above absolute peak orders

Nominal capacity vs orderbook to fleet ratio (as % of global TEU capacity)



Source: Alphaliner, Clarksons.

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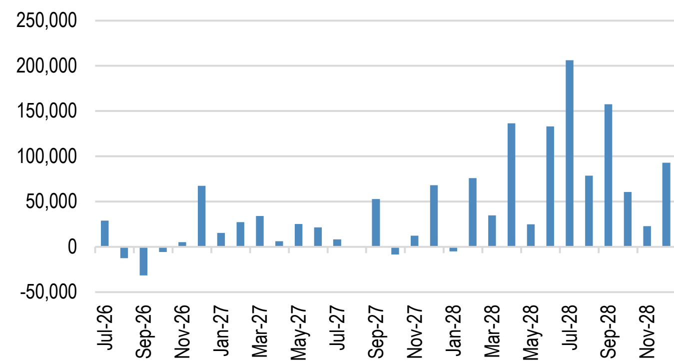
Is there scope for delivery slippage or order cancelations?

While neither can be excluded, over the past six months we have not observed any slippage in delivery schedules, in fact deliveries have been increasing since January 2026. There has been some discussion around whether demand for data center infrastructure could potentially divert capacity from ship building to data centers, especially re engines. We have not seen any evidence of this to date and our understanding is that the type of engine technology differs and the largest manufacturers of vessel engines are small players in the DC sector. In terms of cancelations, there have been very few historically and these have been more correlated with the dynamics of the spot market.

Figure 6: Planned deliveries in 2027 have increased since January 2026 suggesting no slippage

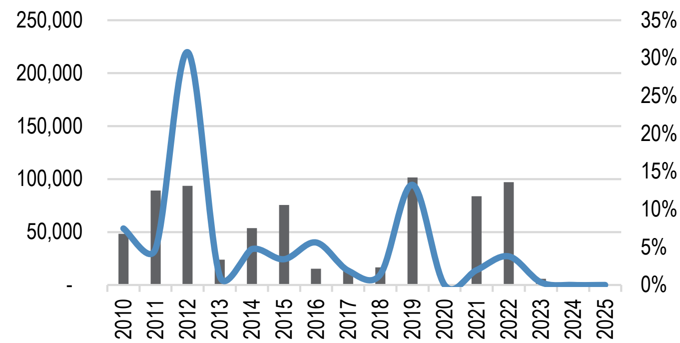
Change in scheduled deliveries July vs. January 2026 (TEU by month)



Source: Alphaliner.

Figure 7: Cancelations are possible but generally rare and low

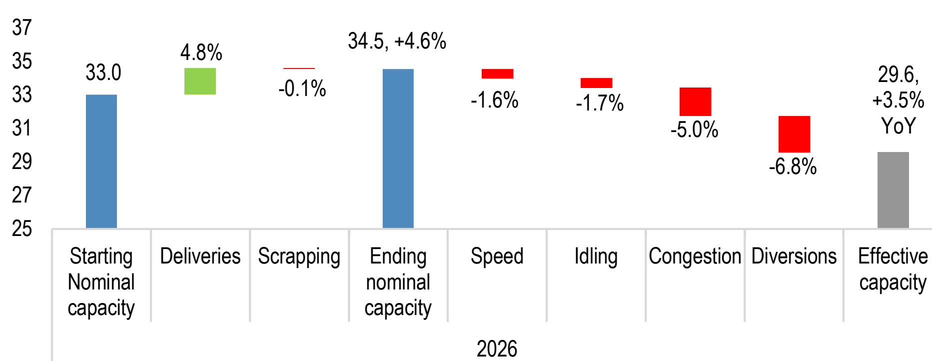
Order cancelations (TEU) vs. % of orderbook



Source: Alphaliner.

Figure 8: We now expect 2026 effective supply growth of +3.5% (vs. +4.4% with our 2026 outlook)…

Ocean capacity outlook (TEU-m) 2025-26



Source: Alphaliner, Sea-Intelligence, Clarksons, Bloomberg, J.P. Morgan estimates.

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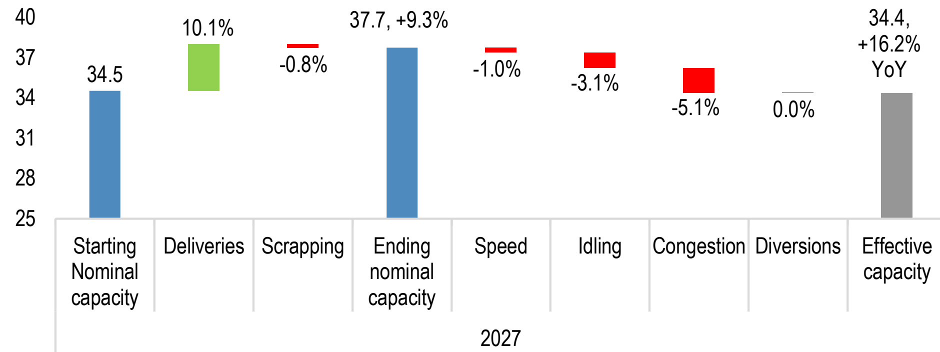
Figure 9: …followed by a steep 16% increase in 2027(vs. +14.7% previously)…

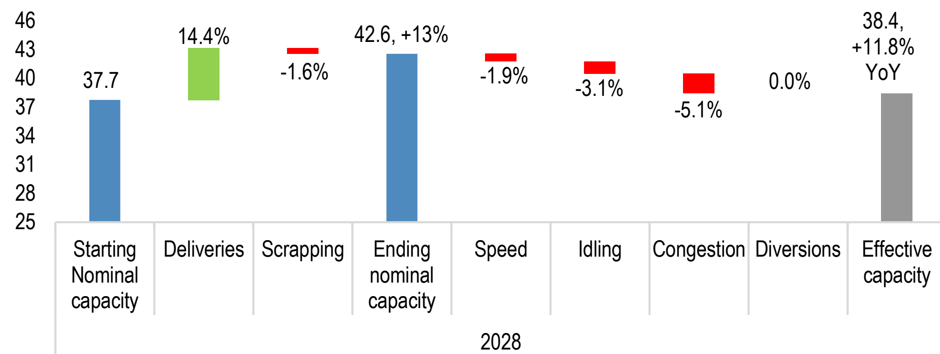
Ocean capacity outlook (TEU-m) 2026-27



Source: Alphaliner, Sea-Intelligence, Clarksons, Bloomberg, J.P. Morgan estimates.

Figure 10: …and a further 12% (vs. +10% previously) in 2028

Ocean capacity outlook (TEU-m) 2027-28



Source: Alphaliner, Sea-Intelligence, Clarksons, Bloomberg, J.P. Morgan estimates.

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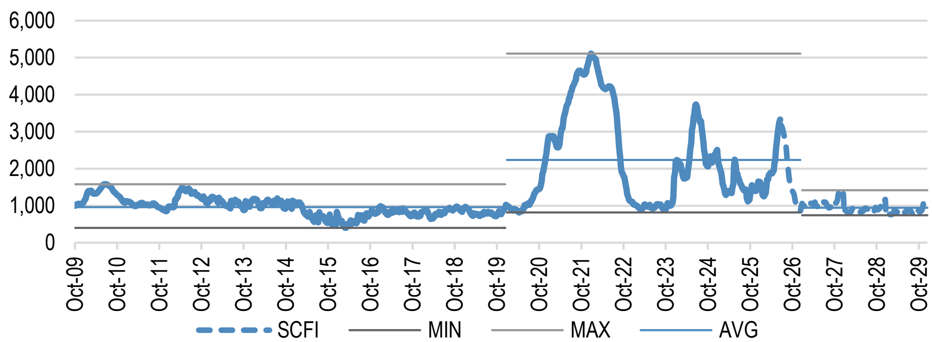
Rates

Container freight rates are commodity prices that are updated weekly through various indices such as the SCFI. These prices are a live indication of supply and demand. We do not see any evidence of this historical relationship breaking and therefore fundamentally we do not see any reason why rates can not revert back to the long term average given the significant supply that is coming. Given the strong recent appreciation in rates we expect 2026 spot rates will likely increase by 20% y/y to an average of $1,900/ TEU (SCFI) and then to drop by 40% in 2027 to just under $1,100/TEU followed by a further decrease of 17% y/y in 2028 to $900.

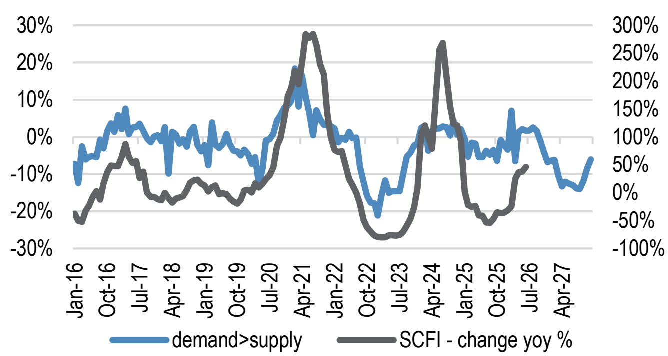
Figure 11: Container freight rates have historically traded within a range that was broken during the pandemic years; but we see no reason why these do not trend back to the long-term average once disruptive events clear



Source: Bloomberg Finance L.P., underlying data from Shanghai Shipping Exchange; J.P. Morgan estimates.

Figure 12: The relationship of rates to D-S is directionally very strong with recent dislocation partly driven by fuel price recovery..

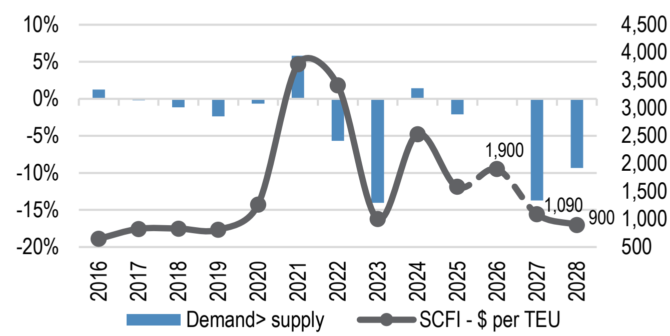
change in SCFI (RHS) vs spread of demand to effective supply by month



Source: Alphaliner, CTS, Clarksons, Sea-Intelligence, J.P. Morgan estimates.

Figure 13: We expect rates to go back towards the historical mean of $1,000 with risk more on the downside post all disruptions clearing

SCFI ($ per TEU - RHS) vs. demand> supply spread annual (JPMe 2026-28)



Source: Alphaliner, CTS, Clarksons, Sea-Intelligence, J.P. Morgan estimates.

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